

**TOYOTA'S APPENDIX TO THE BRIEF IN COMPLIANCE WITH
ORDER LIFTING STAY AND REQUIRING BRIEFING
TO ADDRESS LACK OF SOVEREIGN IMMUNITY**

Laws of Puerto Rico Annotated Currentness
Title 23. Public Planning and Development
Part II. Economic Development
Chapter 25. Puerto Rico Ports Authority

23 L.P.R.A. § 333

§ 333 Creation

(a) A body corporate and politic is hereby created constituting a public corporation and government instrumentality of the Commonwealth of Puerto Rico, with the name of the Puerto Rico Ports Authority. The Puerto Rico Ports Authority shall be the successor of the Puerto Rico Transportation Authority for all effects, including, but without it being understood as a limitation, the collection and payment of debts and obligations pursuant to the terms thereof.

(b) The Authority which is created hereby is and should be a government instrumentality and public corporation with a legal existence and personality separate and apart from those of the Government and any officials thereof. The debts, obligations, contracts, bonds, notes, debentures, receipts, expenditures, accounts, funds, undertakings and properties of the Authority, its officers, agents or employees, shall be deemed to be those of said government controlled corporation, and not those of the Commonwealth of Puerto Rico, or any office, bureau, department, commission, dependency, municipality, branch, agent, officials or employees thereof.

Credits

-May 7, 1942, No. 125, p. 710, § 3; May 14, 1952, No. 463, p. 976, § 2; Apr. 19, 1955, No. 17, p. 66; Aug. 17, 1989, No. 65, p. 270, § 2, eff. 90 days after Aug. 17, 1989.

History

Transfer.

Separation of the Authority from the Economic Development Administration and attachment to Department of Transportation and Public Works, see 1971 Reorganization Plan No. 6, App. III of Title 3.

Codification.

'People' and 'Insular' were substituted with 'Commonwealth' pursuant to the Constitution. **Amendments-1989.**

Act 1989 amended this section generally. **-1955.**

Act 1955 changed 'Puerto Rico Transportation Authority' to 'Puerto Rico Ports Authority', and added third sentence of subsec. (a) making the latter the successor to the former. **-1952.**

Subsection (b): Act 1952 amended the first sentence generally.

Statement of motives.

Aug. 17, 1989, No. 65, p. 270.

CASE NOTES

1. Generally.

Puerto Rico Ports Authority (PRPA) did not show the PRPA was entitled to Eleventh Amendment immunity in an employment discrimination suit because (1) structural indicators did not show the Commonwealth of Puerto Rico (Commonwealth) intended the PRPA to share in the Commonwealth's sovereignty, as the PRPA's enabling act did not structure the PRPA as an arm of the Commonwealth, as the PRPA was described as separate and apart from the government, the PRPA could raise the PRPA's own revenue and the Commonwealth was generally not liable for the PRPA's debts, despite limited liability under [P.R. Laws Ann. tit. 23, § 2303\(b\)](#), notwithstanding the Commonwealth's control, and (2) no risk to the Commonwealth's fisc in the case at hand was shown. [Grajales v. P.R. Ports Auth.](#), 831 F.3d 11, 2016 U.S. App. LEXIS 13582 (1st Cir. P.R. 2016). UNITED STATES COURT OF APPEALS FOR THE FIRST CIRCUIT

ANNOTATIONS

1. Generally.

In a remanded civil rights case in which the Puerto Rico Ports Authority moved to dismiss, the Ports Authority satisfied both prongs of the *Fresenius* test; it was an arm of the Commonwealth, and it was entitled Eleventh Amendment immunity. [Grajales v. P.R. Ports Auth.](#), 81 F. Supp. 3d 158, 2015 U.S. Dist. LEXIS 11455 (D.P.R. 2015), rev'd, 831 F.3d 11, 2016 U.S. App. LEXIS 13582 (1st Cir. P.R. 2016). UNITED STATES DISTRICT COURT FOR THE DISTRICT OF PUERTO RICO

Supervisor of Ports Authority, an instrumentality created for public purposes including operation and administration of airports in the Island, is responsible for maintenance of escalators by means of daily inspections, and cannot assign his liability due to existence of a maintenance contract with third party. [Colmenares Vivas v. Sun Alliance Ins. Co.](#), 807 F.2d 1102, 1986 U.S. App. LEXIS 35093 (1st Cir. P.R. 1986).

The fact that Puerto Rico Ports Authority was related to the Economic Development Administration cannot by itself defeat the clear intention of the law to create a distinct and separate entity from the Commonwealth. [Canadian Transport Co. v. Puerto Rico Ports Authority](#), 333 F. Supp. 1295, 1971 U.S. Dist. LEXIS 11071 (D.P.R. 1971).

Puerto Rico Ports Authority is a public corporation with sufficient identity of its own and different from the Commonwealth of Puerto Rico, to be sued in a case where the agency and not the Commonwealth is the real interested party, and the Commonwealth's sovereign immunity does not extend to the Authority. [Canadian Transport Co. v. Puerto Rico Ports Authority](#), 333 F. Supp. 1295, 1971 U.S. Dist. LEXIS 11071 (D.P.R. 1971).

The determination as to when a government agency is so related to the Commonwealth so as to be considered one and the same for purposes of sovereign immunity goes to the jurisdiction of the court and federal law controls. [Canadian Transport Co. v. Puerto Rico Ports Authority](#), 333 F. Supp. 1295, 1971 U.S. Dist. LEXIS 11071 (D.P.R. 1971).

The laws of the Commonwealth of Puerto Rico are applicable only insofar as they define the status and nature of an agency of the Commonwealth and its relationship to it and serve to illustrate the juridical facts to which the federal criteria will be applied in order to determine whether the agency is so related to the Commonwealth as to be considered one and the same for purposes of sovereign immunity. [Canadian Transport Co. v. Puerto Rico Ports Authority](#), 333 F. Supp. 1295, 1971 U.S. Dist. LEXIS 11071 (D.P.R. 1971).

23 L.P.R.A. § 333, PR ST T. 23 § 333

Current through all acts translated by the Translation Office of the Puerto Rico Government through the 2011 Legislative Session and various acts from 2012 to the present. Appendices III (Rules of Civil Procedure) and IV (Rules of Evidence) of Title 32 have been replaced by Appendices V (Rules of Civil Procedure) and VI (Rules of Evidence) of Title 32 by Order of the Supreme Court dated Sept. 4, 2009, but the official translations are not yet available. Also, the official translations of Appendices XII through XXII of Title 3, which encompass various reorganization plans of the Puerto Rico Government and promulgated in 2010 through 2012, have not yet been received. For all missing translations, please consult the Spanish version.

End of Document

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1 A I just need clarity.

2 Q And you are here to provide it.

3 A Okay. I just want to help.

4 Q What are the sources of funding for
5 the Puerto Rico Ports Authority?

6 A Its own funds, based on the
7 operations, and other funds coming from federal
8 funds, addressed to -- and federal funds addressed
9 to construction to capital improvements.

10 Q Who prepares the budget with Autoridad
11 de Puertos?

12 A The budget director. I'm sorry, the
13 chief of budget. Together with the deputy
14 executive director for economic development.

15 Q The Ports Authority has a board of
16 directors, correct?

17 A Yes.

18 Q And how many members are there?

19 A It is actually more than four members.
20 The president is the Puerto Rico Highway Authority
21 director, the DTOP, the Department of
22 Transportation and Public Works director. The
23 name of the director is Carlos Contreras.

24 Q And how often does the board meet?

25 A I don't have the schedule, actually,

1 because that is something that is administrative,
2 and the person who has it is the executive
3 director, given that that is something that is
4 controlled by all of the deputy executive
5 directors of each one of the areas, and yours
6 truly is not a member of the board of directors.

7 **Q Okay. When you mentioned earlier that**
8 **the funds are federal funds and the Ports**
9 **Authority's own funds, how does the Port Authority**
10 **generate those funds?**

11 **A** The PRPA's own funds are funds that
12 are generated by the operational services that are
13 invoiced to shipping agents and to aviation. And
14 the federal funds are federal funds that we can
15 access through grants in order to do capital
16 improvements to the airports, which could be up to
17 90 percent, and then the rest, which would be a 10
18 or 5 percent, we would have to match.

19 **Q The funds that -- from which the**
20 **scanning fee program is paid come from the**
21 **scanning fee? I'm sorry. I have to rephrase the**
22 **question. I just realized.**

23 **The funds from which the scanning program**
24 **is paid come from the scanning fee?**

25 **A** Yes. It is like a passthrough. The

1 \$456 million with AAFAF, we still haven't seen how
2 we are going to pay that one. And the one for
3 retirement, they haven't given me a monthly
4 installment that we can pay. And we are trying to
5 see if for retirement they can give us ten years
6 of installments.

7 **Q And the funds to get these accounts up**
8 **to date would have to come from ports itself?**

9 A From all of this that is received is
10 not enough to pay for everything.

11 **Q Okay. But I -- my question was**
12 **whether the funds or the monies that you would --**
13 **that ports would use to pay its debt will come**
14 **from ports itself?**

15 A Yes, it has to come from operations
16 from wharfing, from services from dockage, and
17 from dutyship and unfortunately I have to say that
18 the dutyship, which is public knowledge, they are
19 trying to negotiate the P3s.

20 MR. TREBILCOCK: Let me say
21 something. Let's not -- I think
22 this is -- I think we have gone
23 into something that absolutely has
24 nothing to do with this case. I
25 think you have been able to get the

1 MR. TREBILCOCK: Is that
2 correct?

3 THE DEPONENT: Yes, it comes
4 from a general fund.

5 BY MS. ARIZMENDI:

6 Q But not from the Commonwealth's
7 general fund?

8 A No. It is our own funds. We do not
9 participate from -- we do not receive any
10 legislative allotments at this time. We are a
11 corporation, therefore, we have no participation
12 from the general fund.

13 Q So you are responsible for your own
14 liabilities -- ports is responsible for its own
15 liabilities?

16 A Yes.

17 Q We have two words in Spanish, but just
18 one word in English.

19 THE REPORTER: The answer was?
20 I didn't --

21 THE INTERPRETER: "Yes." The
22 answer was "yes."

23 MR. TREBILCOCK: Could you read
24 back the answer? The answer is
25 important. The answer to that last

MEMORANDUM OF UNDERSTANDING

2011-000102

In San Juan, Puerto Rico, this 16 of the February, 2011.

AP-10-11-(0)-102

This Memorandum of Understanding (the "Memorandum") is entered into by and between Honorable Jesús F. Méndez Rodríguez, CPA, Secretary of the Treasury Department of the Government of Puerto Rico, on behalf of such Department, hereinafter referred to as the "Secretary of the Treasury", an Executive Department of the Government of Puerto Rico, created by Act No. 6 of July 24, 1952, as amended; and the Puerto Rico Ports Authority, a public corporation and government instrumentality of the Government of Puerto Rico, created by Act No. 125 approved on May 7, 1942, as amended, represented herein by its Executive Director, Alberto R. Escudero Morales, hereinafter referred to as the "Ports Authority".

RECITALS

The Ports Authority owns, supervises and administers the Port of San Juan, through which most of the products are imported into the island of Puerto Rico, most commonly inside closed cargo containers.

Although these closed cargo containers should include only the items and products disclosed in the ship's manifest and/or bill of lading, it is a well known fact that the cargo containers may sometimes include undisclosed items and products, introduced as contraband into Puerto Rico, to avoid ---among other reasons --- paying the applicable excise or other related taxes, with a significant loss of revenue for the Government of Puerto Rico.

Although the Ports Authority is aware of this practice, it is not the government instrumentality with the proper legal jurisdiction and authority to intervene as of right in that respect. Instead, the Legislature has specifically authorized the Secretary of the Treasury

Department of the Government of Puerto Rico (the "Secretary of the Treasury") to inspect such cargo containers when they arrive in Puerto Rico, as one of its powers in furtherance of its goal to collect taxes. Such authorization arises from Article 6140 of the Puerto Rico Internal Revenue Code, 13 LPRA §8140, which expressly authorizes the Secretary of the Treasury to inspect, at any moment deemed necessary or convenient, the contents of any container that arrives in Puerto Rico, being empowered to detain such container to examine any use and consumption articles in them to detect any undisclosed taxable item and properly tax them.

Nevertheless, the Port Authority and the Treasury Department signed in a multi party agreement with several agencies and instrumentalities of the Government of Puerto Rico. In such agreement, signed on August 2, 2007, all the parties, among others things, agreed to cooperate in order to implement Puerto Rico's tax laws. This agreement places responsibility in both agencies to implement efficient tax collection processes. To the extent not otherwise modified, amended, and superseded, the agreement was mentioned and knowledge by Act No. 12 of February 18, 2008, and became part of the Government of Puerto Rico's public policy. This memorandum of understanding sets forth how specifically will the undersigned conform and cooperate in furtherance of that obligation and public policy.

Given that both public instrumentalities recognize the need for interagency cooperation to better satisfy and serve the very important public interest of collecting taxes, the Ports Authority has taken action to assist the Puerto Rico Treasury Department in its endeavor to prevent contraband from entering into Puerto Rico undetected and untaxed. On December 17, 2009, the Authority entered with Rapiscan Systems, Inc, ("Rapiscan") into a contract agreement AP-09-10-(4)-078 (as amended from time to time, the "Agreement; all terms defined and capitalized in such Agreement and used capitalized in this Memorandum shall have the same meaning) which

grants Rapiscan the right to enter and use, under the terms and conditions specified in the Agreement, certain facilities within the Port of San Juan that are owned, leased or controlled by the Ports Authority, to provide in those facilities non-intrusive cargo scanning services of the inbound cargo containers entering the Port of San Juan, not previously selected and scanned (imaged) by the United States Customs and Border Protection (the "Scanning Services"). On August 6, 2010, and with the consent of the Ports Authority, Rapiscan assigned all of its rights and obligations under the Agreement to S2 Puerto Rico of Puerto Rico, LLC, ("S2 Puerto Rico") a wholly owned subsidiary of Rapiscan parent company. (AP-09-10-(4)-078)-A, and, subsequently, on January 27, 2011, the Authority and S2 Puerto Rico entered into that certain Second Supplementary and Restatement of Complete Scanning Services Agreement (AP-09-10-(4)-078A-2), filed at the Puerto Rico Comptroller's Office as 2010-000078-B.

Consequently, in view of the important public policy interest involved and in the spirit of interagency cooperation, the Ports Authority, at the request of the Secretary of the Treasury, has consented to allow the Treasury Department to place its employees or authorized agents ("Agentes de Rentas Internas") at the Locations in the Port of San Juan where S2 Puerto Rico will conduct its scanning operations and this way assist the Secretary of the Treasury in performing its taxing responsibilities with regards to the inbound cargo at the Port of San Juan as defined in the Agreement

The purpose of this Memorandum is to set forth the functions and responsibilities of each governmental entity in regards to the use of S2 Puerto Rico Scanning Services at the Locations with the objective of working in cooperation to develop a solution to the contraband problem in Puerto Rico.

Terms and Conditions

1. The Ports Authority will allow, and hereby allows, for the Secretary of the Treasury to assign Treasury Department authorized personnel ("Agentes de Rentas Internas") at the Locations to use the S2 Puerto Rico Scanning Services to assist the Secretary of the Treasury to perform its taxing responsibilities with regards to the inbound Cargo at the Port of San Juan as defined in the Agreement. This permission shall be not exclusive, with the Ports Authority reserving the right to allow, from time to time, concurrently or successively, for other Governmental Bodies to assign its authorized personnel to use the S2 Puerto Rico Scanning Services at the Locations to fulfill their respective public policy responsibilities.

2. The Ports Authority expects that there will be up to a total of eight (8) port exit Locations, seven (7) fixed and one (1) mobile, where S2 Puerto Rico Scanning Services will be provided at the Port of San Juan. For each Location, the Ports Authority shall provide to the Secretary of the Treasury with sufficient advance notice of the Operations Start Date.

3. At least one Treasury Department employee or authorized person shall be at each Location at all times whenever S2 Puerto Rico conducts scanning activity at the Location, and such person shall be duly qualified and able to interpret scanning images, upon the referral of an image by S2 Puerto Rico personnel, to detect image inconsistent with the applicable bill of lading, and any other suspect image content in accordance with standards established in operator training, and to determine, at his sole discretion, if such truck/containers should be subject to further inspection or otherwise held.

4. When further inspection is deemed warranted by the Treasury Department employee or authorized person, it shall perform such investigation as per the Treasury Department's established protocols. However, the Treasury Department employee or authorized person shall

consult with Ports Authority personnel as to where the diverted vehicles/containers should be held for further inspection, with the Ports Authority personnel having the authority to make the decision, as the Port Authority personnel deems necessary or convenient.

5. The Treasury Department employee or authorized person shall not be responsible for establishing or enforcing any fee requirements (if applicable), nor for notifying to S2 Puerto Rico personnel of any anticipated volume increase or decrease pursuant to the Agreement. Such responsibilities shall rest solely upon Ports Authority personnel or representatives.

6. The Ports Authority shall grant to the Treasury Department employees, or authorized persons, the right to ingress and egress to and from the Locations, subject with their compliance with all applicable law and regulations that regulate ingress and egress to Ports Facilities, as such laws and regulations varies from time to time, including the cost of obtaining any required identification and/o entry authorization.

7. The Treasury Department employees or authorized persons shall receive, and shall continue to receive, the same or equivalent scanning operator training required for S2 Puerto Rico employees in Section A.5, Staffing and Training in Schedule B to the Agreement.

8. The Authority agrees to reimburse to the Treasury Department all of its costs and expenses related to the Treasury Department's employees or representatives that work at the Locations, including but not limited to their salaries, benefits, costs reimbursements, per diem, as well as any and all costs and expenses incurred in their training. To request reimbursement, the Treasury Department shall submit within the first (10) days of the month, an invoice with a detailed list of the cost and expenses incurred per each Treasury Department employee or representative that works at the Locations. Subject to verification by the Authority, the Authority shall reimburse the Treasury Department within 20 days of receipt of the above

referred to invoice.

9. The Secretary of the Treasury hereby agrees to appoint in the Treasury Department a Project Team as defined in Section 8.5 of the Agreement, to handle all operational issues and be in charge of overseeing the Treasury Department employees or authorized persons at the Locations and the serve as a contact for the Ports Authority and/or S2 Puerto Rico concerning any issues that may arise. The parties shall exchange the name and contact information of its respective manager.

10. The Authority hereby agrees to provide to the Secretary of the Treasury, as it receives the same from time to time the Staffing and Contingency Plans and Escalation List provided by S2 Puerto Rico.

11. The Secretary of the Treasury agrees to be, and to have its employees or authorized persons, be bound by the Confidentiality Requirements set forth in Section 13 of the Agreement, and by Intellectual Property Rights recognition set forth in Section 14 of the Agreement, obligations which shall survive the termination of this Memorandum of Understanding.

12. During the term of this Memorandum, the parties agree to provide to the other, and/or exchange, any information the party may have in connection with any domestic inbound manifest deemed necessary and/or convenient by the other to carry out the purposes of this Memorandum.

13. Each of the parties waives its right to recover from the other, fully and irrevocably releasing the other, promising to defend, indemnify keep and hold harmless the other, and its officers directors, representatives, elected and appointed officials, agents and employees, from any and all claims, causes of actions, loss, liability, damage, cost, or expense of any nature whatsoever, whether accrued, absolute, contingent, or otherwise, including without limitation, to

attorney's fees and costs (whether or not suit is brought by any third parties (including S2 Puerto Rico) in connection with the either party alleged negligent performance of its obligations under this Memorandum of Understanding and Agreement. These obligations shall survive termination of the Memorandum of Understanding.

14. Each of the parties may terminate this Memorandum by providing the other party with at least 30 days advance written notice, upon which the obligations to each other will cease, unless otherwise provided in this Memorandum.

15. All notices, statements and other documents that any party is required or desires to give to any other party shall be served in person, by express mail, by certified mail, by overnight delivery, or by facsimile at the respective addresses set forth below, or at such addresses as may be designated in writing by such party:

If to the Ports Authority: Mr. Alberto R. Escudero Morales, Executive Director, Puerto Rico Ports Authority, PO Box 362829, San Juan, Puerto Rico 00936-2829, with a copy to PRPA Legal Department, Puerto Rico Ports Authority, PO Box 262829, San Juan, Puerto Rico 00968-3029.

If to the Secretary of the Treasury: Hon. Jesús F. Méndez Rodríguez, Secretary of the Puerto Rico Treasury Department, P.O. Box 9024140, San Juan, Puerto Rico 00902-4140 with a copy to Puerto Rico Treasury Department legal department.

16. This Memorandum constitutes the entire understanding between the parties and any prior understanding or representation of any kind preceding the date of this Memorandum shall not be binding on either party except to the extent incorporated in this Memorandum.

17 Any modification of this Memorandum shall be binding only if in writing signed by each party or authorized representative of each party. However, in the event the Agreement with

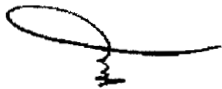
S2 Puerto Rico is amended or modified in the future, the parties agree to consider this Memorandum likewise be amended or modified to the extent that it may be necessary or convenient to conform to the amendment or modification of the Agreement with S2 Puerto Rico.

18 The rights granted under this Memorandum may not be assigned to any other party without the express written consent of the other party.

19 This Memorandum shall be governed by, construed and enforced in accordance with the laws of the Commonwealth of Puerto Rico.

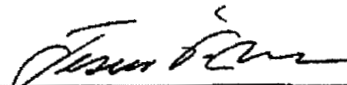
IN WITNESS WHEREOF, each party to this Memorandum has caused it to be executed on the date and place set forth above.

**THE PUERTO RICO PORTS
AUTHORITY**



Alberto R. Escudero Morales
Executive Director

**THE PUERTO RICO TREASURY
DEPARTMENT**



Honorable Jesús F. Méndez Rodríguez
Secretary of the Treasury
660-43-3481

Reglamentos de Puerto Rico Currentness
Autoridad de Puertos (AP)

P.R. Regs. AP REG. 8067 (English)

Reg. 8067 (English)-Request to Authorize the Executive Director of the Puerto Rico Ports Authority to Adopt the Regulation for Implementing the Necessary Means to Guarantee an Efficient Flow of Commercial Traffic in the Scanning of Inbound Cargo Containers, to Improve Security and Safety at the Port Facilities, and/or to Otherwise Implement the Public Policy of the Commonwealth of Puerto Rico Delegated Upon the Ports Authority (Amended by Reg. Num. 8184. Repealed by Reg. Num. 8837)

RESOLUTION NUMBER 2011-026

The Executive Director submitted the following matter for consideration and approval by the Board of Directors:

REQUEST TO AUTHORIZE THE EXECUTIVE DIRECTOR OF THE PUERTO RICO PORTS AUTHORITY TO ADOPT THE REGULATION FOR IMPLEMENTING THE NECESSARY MEANS TO GUARANTEE AN EFFICIENT FLOW OF COMMERCIAL TRAFFIC IN THE SCANNING OF INBOUND CARGO CONTAINERS, TO IMPROVE SECURITY AND SAFETY AT THE PORT FACILITIES, AND/OR TO OTHERWISE IMPLEMENT THE PUBLIC POLICY OF THE COMMONWEALTH OF PUERTO RICO DELEGATED UPON THE PORTS AUTHORITY

Mr. Alberto Escudero, Executive Director of the Puerto Rico Ports Authority (The Authority), explained to the Board of Directors, to adopt the New Container Inspection System Regulation is necessary in order to identify unreported taxable goods and improve security at the ports.

Pursuant to the aforementioned reasons the Authority has determined implementing the New Regulation with an effective date from October 1, 2011 until June 30, 2014.

The Authority published public notices of the Authority's intention to establish a New Container Inspection System Regulation. The New Regulation was made available for public review and invited the general public to submit written comments and be present at the public hearing held on June 15, 2011.

The final determination of the establish the New Regulation complied with the legal procedure.

Attached to this Resolution is the Hearing Officer Report, Roberto E. Vega Pacheco, Esq., who presided the public hearing.

Having evaluated the arguments made by the Executive Director, the Board of Directors approved the following:

RESOLUTION NUMBER 2011-026

WE HEREBY RESOLVE: To authorize the Executive Director of the Puerto Rico Ports Authority or his delegate to adopt the Regulation for Implementing the Necessary Means to Guarantee an Efficient Flow of Commercial Traffic in the Scanning of Inbound Cargo Containers , to Improve Security and Safety at the Port Facilities and/or to Otherwise Implement the Public Policy of the Commonwealth of Puerto Rico Delegate Upon the Ports Authority, and to approve the report prepared by the Hearing Officer, Roberto E. Vega Pacheco, Esq.

The Authority reserves the right to amend the Regulation established hereunder, if during the period of effectiveness of this Resolution significant changes occur that justify necessary amendments to such rates, fees, rentals and other charges.

In San Juan, Puerto Rico, on this August 31, 2011.

Hon. Rubén A. hernández Gregorat

Chairman

Board of Directors

Mr. Mario González Lafuente

Secretary

Board of Directors

CERTIFICATION

I, Hilda M. Rodriguez Manzano, Assistant Secretary of the Board of Directors of the Puerto Rico Ports Authority (PRPA), a corporation duly organized and existing under Amendment to Resolution No. 2007-78, by laws of the Puerto Rico Ports Authority, certify the following:

The Puerto Rico Ports Authority (PRPA) Board of Directors on ordinary meeting held on August 31, 2011 authorize the Executive Director of the Puerto Rico Ports Authority or his delegate to adopt the Regulation for Implementing the Necessary Means to Guarantee an Efficient Flow of Commercial Traffic in the Scanning of Inbound Cargo Containers , to Improve Security and Safety at the Port Facilities and/or to Otherwise Implement the Public Policy of the Commonwealth of Puerto Rico Delegate Upon the Ports Authority, and to approve the report prepared by the Hearing Officer, Roberto E. Vega Pacheco, Esq.

The Authority reserves the right to amend the Regulation established hereunder, if during the period of effectiveness of this Resolution significant changes occur that justify necessary amendments to such rates, fees, rentals and other charges.

IN WITNESS WHEREOF, I signed and affixed the corporate seal of the Puerto Rico Ports Authority, this August 31, 2011, San Juan, Puerto Rico.

Hilda M. Rodríguez Manzano, Esq.

Assistant Secretary

Board of Directors

ARTICLE I. INTRODUCTION AND LEGAL GROUNDS

A. The Puerto Rico Ports Authority owns, supervises and administers the maritime facilities of the Port of San Juan, through which most of the domestic and foreign products are imported into the Island of Puerto Rico, most commonly inside inbound Cargo Containers. The Puerto Rico Ports Authority has the responsibility of guaranteeing, among others, both port security and an efficient commercial traffic flow. In addition, the Ports Authority must implement and fully comply with its law and contractual obligations.

B. Although these inbound Cargo Containers should include only the items and products disclosed in the Ship's Manifest and/or Bill of Lading, it is a well-known fact that the inbound Cargo Containers may sometimes include undisclosed items and products to be cleverly introduced as contraband into Puerto Rico to avoid paying the applicable excise tax, other related taxes, or otherwise avoid their detection. This practice has a direct and negative effect upon Puerto Rico's tax revenues.

C. On August 2, 2007, the Ports Authority and the Treasury Department entered with several other agencies and instrumentalities of the Government of Puerto Rico into that certain multi-party agreement, whereby the parties, among others things, agreed to cooperate with—and support—the Treasury Department's tax fiscalization efforts. This agreement places the responsibility upon the participant agencies to coordinate and cooperate among each other to implement an efficient tax collection process which affords minimal disturbances to the flow of merchandize arriving at the ports by way of an efficient process.

D. Thereafter, on February 18, 2008, the Commonwealth of Puerto Rico approved Act No. 12 of February 18, 2008, which adopted the purpose, findings, and policy objectives outlined in the multi-party agreement.

E. Subsequently, on February 16th, 2011, the Treasury Department of the Government of Puerto Rico and the Puerto Rico Port Authority signed a Memorandum of Understanding between themselves that sets forth specifically how these two public entities will conform and cooperate in furtherance of such obligations and public policy objectives.

F. In response to the mandate of Act No. 12 and in compliance with the Memorandums of Understanding with the Puerto Rico Treasury Department; the Ports Authority will implement a fast track method of inspecting inbound Cargo Containers which will detect undisclosed taxable goods, as well as increase port security in the Port of San Juan, while preserving a free flow of commerce and the efficient movement of cargo.

G. The fast track method selected by the Puerto Rico Ports Authority is a non-intrusive cargo scanning (imaging) system under which up to 100% of all Inbound Cargo Containers may be scanned. It is an effective method that seeks to maximize the safety and security of the Port of San Juan, and which accommodates the Department of the Treasury's tax fiscalization/collection goals, while preserving an efficient flow of commercial traffic. The inspection process will include any foreign inbound Cargo Containers or foreign cargo that arrives to the island of Puerto Rico, unless the US Custom and Border Protection specifically requests that certain foreign inbound Cargo Container or foreign cargo in a domestic inbound Cargo Container be excluded.

H. These rules shall be known as “The Regulation for Implementing the Necessary Means to Guarantee an Efficient Flow of Commercial Traffic in the Scanning of Inbound Cargo Containers, to Improve the Security and Safety at the Port Facilities and/or to otherwise Implement the Public Policy of the Commonwealth of Puerto Rico delegated upon the Ports Authority” or for short, the “Scanning Regulations.” The same are set in accordance with the provisions of [Article VI, §§ 2, 6, of the Constitution of Puerto Rico](#), Act No. 125 of May 7th, 1942 as amended, Act No. 171 of June 28, 1968 as amended, Act No 120 of October 31, 1994, Act No. 12 of February 18, 2008, Act No. 1 of January 31, 2011, and Regulation 7437 of December 14, 2007.

ARTICLE II. PURPOSE AND APPLICATION

This Regulation aims to regulate and govern the procedures at the new inspection facilities to be established by the Puerto Rico Ports Authority in its maritime port facilities at the Port of San Juan. The measure seeks to accommodate the Interest of the Department of the Treasury to inspect up to 100% of all Inbound Cargo Containers, in order to identify unreported taxable

goods, by a non-intrusive scanning (imaging) system that preserves a free and efficient flow of commercial traffic at the ports. It also seeks to establish the means necessary to improve security and safety at the port facilities, and/or to otherwise advance (or more efficiently advance) the public policy of the Commonwealth of Puerto Rico outlined in the documents and provisions mentioned above, and/or to improve related services.

ARTICLE III. DEFINITIONS

1. Cargo Container—Shall mean all types of containers used to carry cargo freight in ships, regardless of whether the container is empty, but shall not include uncontainerized bulk cargo.
2. Ship's Manifest—Means the statement submitted by the Ship Owner or Ship Agent to the different PRPA facilities Regulatory Agencies related to the inbound and outbound cargo delivered. The Ship manifest statement is supported, but not limited to, by bills of lading describing Cargo and weight and any other kind of valid documentation which provides a clear description of type of Cargo and weight conveyed.
3. Bill of Lading—Document issued by a Carrier acknowledging that specified goods have been embarking or disembarking as Cargo from one consignee to other, and which involves the use of at least two different types of transportation (for example: land and sea).
4. Containers—A truck trailer body that can be detached from the chassis for a loading into a vessel. Containers may be ventilated, insulated, refrigerated or equipped with interior devices. A container may be 20 feet, 40 feet, 45 feet, 48 feet or 53 feet in length, 8.0" or 8'6" in width, and 8'6" or 9'6" in height.
5. Contraband—Anything, whether prohibited or not, that has not been properly disclosed in the Ship's Manifest and/or Bill of Lading.
6. Inspection Lanes—Sites where the Scanning will be placed.
7. Enhanced Security Fee—The fee established to recover all of the costs incurred by the Puerto Rico Ports Authority to guarantee the free and efficient flow of commerce at the maritime facilities of the Port of San Juan under the non-intrusive scanning process; establish the necessary means to improve effectiveness, security and safety at the port facilities; comply with its legal and contractual obligations; and/or to otherwise implement the means necessary to advance (or more efficiently advance) the public policy of the Commonwealth of Puerto Rico outlined in the documents and provisions mentioned above.
8. Ship or Vessel Agent—Person or company authorized to transact business for and in the name of another person or company
9. Image—Digital representation of the Cargo by the Scanning portal.

10. Puerto Rico Ports Authority or the Authority-Public Corporation as created by Act No. 125 of April 7, 1942, (23 L.P.R.A. 331-352), also identified as the “Authority” or by its acronym “PRPA”

11. Governmental Entity (ies)—Any of the Commonwealth of Puerto Rico's executive departments, agencies, instrumentalities, administrations, and/ or public corporations, including any of the municipalities of the Commonwealth of Puerto Rico. It likewise means the Federal Government, or any of its executive departments, agencies, instrumentalities, administrations, public corporations, etc, except for the purposes of this Agreement the US Customs and Border Protection (“CBP”).

12. Inbound Cargo Containers—any inbound Cargo Container that arrives to the island of Puerto Rico at the Port of San Juan from any foreign or domestic port which the United States Custom and Border Protection has not specifically requested to be excluded from screening or scanning at the Port of San Juan.

ARTICLE IV. GENERAL RULES

A. To meet the challenge of complying with its legal and contractual duties, while not restricting the free flow of commerce, the Puerto Rico Ports Authority hereby implements and installs a new inspection system using non-intrusive scanning technology with the capacity of scanning of up to 100% of the Inbound Cargo Containers entering the San Juan Port facilities.

B. The new inspection system shall be implemented by installing certain Inspection Lanes at predetermined locations selected by the Authority at the maritime port facilities at the Port of San Juan. During the deployment stage of the new inspection system, the Authority will establish and notify the general public the location of the new Inspection Lanes and the date of commencement of each lane.

C. To the extent feasible, the Authority seeks to provide for the inspection of up to 100% of all Inbound Cargo Containers that arrive at the Port of San Juan, in a manner that will not unduly affect the free flow of commercial traffic—namely, by way of the non-intrusive scanning (imaging) mechanism. The inspections shall be the responsibility of the Treasury Department personnel in the facilities, but providing a free, efficient, and expedited flow of cargo container traffic through and during the inspection process shall be the responsibility of the Port Authority personnel therein. Following closely, to the extent possible, the sequence in which the cargo containers were unloaded from the arriving ship, the Authority will direct each Inbound Cargo Container to the nearest available Inspection Lane; provided, however, that notwithstanding anything else provided herein or in any other applicable statute or regulation, if there is an undue delay and waiting period in any of the Inspection Lanes (for any reason, such as a peak in the inflow of Inbound Cargo Containers at one time), the Authority reserves the right to reduce the percentage of Inbound Cargo Containers to be scanned, to the percentage that the Authority deems necessary, by randomly selecting among the inbound Cargo Containers that arrive at the Port of San Juan, so as to minimize or eliminate the inspection lane waiting period to an acceptable level that does not unduly hinder the inflow of inbound commerce.

D. The Authority reserves the faculty to exempt from scanning inspection those Inbound Cargo Containers that are from companies that are C-TPAT certified trade partners; provided the C-TPAT trade partner notifies and identifies in writing prior to their unloading, which Cargo Containers are under its control, certifying in writing that the Inbound Cargo Container has been fully controlled and supervised by it at all times.

E. Notwithstanding anything else provided to the contrary in this Regulation, the Authority reserves the faculty, at all times, to allow the inspection by scanning of:

- (i) any cargo container subject to a court order from a court of competent jurisdiction requiring its inspection;
- (ii) any cargo container that there is just cause grounds to require its inspection;
- (iii) any closed cargo container that the Department of the Treasury requires pursuant to its statutory, regulatory and administrative powers.,

F. The foregoing dispositions shall not be construed as a limitation upon the Treasury Department to conduct any inspection authorized by regulation or statute.

G. If any agent claims that its Inbound Cargo Containers are being unfairly discriminated against or has any other type of complaint concerning the above scanning process, it may file a complaint at the Administrative Offices of the Authority and commence an adjudicative procedure pursuant to Act No. 170 of August 12, 1988, as amended.

H. If due to the scanning results it is determined that a particular inbound cargo container requires further inspection (including by any other means), unless other applicable statutes and regulations state differently, the Authority will direct the party in charge of the corresponding cargo container to move it quickly from the corresponding Inspection Lane to a specially designated area. The procedures to be followed will depend on the reason for the secondary inspection. Accordingly, the rules and regulations to be followed thereafter will be those of the agency called upon to investigate, depending on the reason for the secondary inspection. Prompt cooperation from the party will be expected to avoid any unnecessary delays in the flow of traffic through the corresponding Inspection Lanes.

I. The Authority reserves the right to enter, from time to time, into memorandum of understandings or other types of agreements, with other Governmental Entities or others to advance the purpose reflected herein.

J. The Enhanced Security Fees set forth below are established to recover, as required by law, all costs incurred by the Authority in providing, repairing and maintaining an efficient scanning system, related operations and areas, in an effort to limit the effect upon the free flow of commerce, as well as providing better security and safety measures and/or related facilities at the Port of San Juan. The Puerto Rico Ports Authority has hired a third party to perform the required scanning services. Puerto Rico Ports Authority reserves the right to delegate the collection of the Enhanced Security Fee process to a private operator or any another entity. This will be notified to the concerned parties by, but not limited to, letter, email or fax.

K. In order to recover costs incurred by the Authority arising from the foregoing, each ship's or vessel's agent with inbound cargo that effectively arrives, and is unloaded, in the Port of San Juan, must pay to the Puerto Rico Ports Authority an Enhanced Security Fee to be calculated as follows:

From effective date until June 30, 2014

Cargo in Containers	\$	4.00	per Ton up to \$69 per container (Exhibit A)
General Cargo	\$	3.25	per Ton
Motor Vehicles	\$	4.00	per Ton
Liquid Cargo handled in Bulk	\$	0.039	per 42 Gallon Barrel
Liquid Sugar and Molasses	\$	0.58	per Ton
Empty Containers or Chassis	\$	4.00	per Unit

ARTICLE VI. GRIEVANCES/JURISDICTION

Any claim or grievance filed by any party in connection with the above process shall commence with an adjudicative procedure pursuant to Act No. 170 of August 12, 1988, as amended. The Ports Authority shall have primary jurisdiction of the grievance and complaint.

ARTICLE VII. AMENDMENTS

This Regulation may be amended in accordance to the procedures laid down in Act No. 170 of August 12, 1988, as amended.

ARTICLE VIII. SEVERABILITY

If any article, provision, part or section of this Regulation, or any of its applications, are declared by a court of competent jurisdiction to be invalid, void or unconstitutional, all other remaining articles, provisions, parts or sections of this Regulation, and their applications, shall continue to be valid and in full force and effect.

ARTICLE IX. EFFECTIVENESS, REPEAL AND APPROVAL

This Regulation shall become effective thirty (30) days after the same is filed at Department of State of the Commonwealth of Puerto Rico.

When this Regulation comes into full force and effect, all other regulations, rules or procedures of the Authority that are in conflict or inconsistent with this Regulation shall be automatically modified, amended or, If necessary, repealed to the extent necessary to avoid the conflict or conform the inconsistency.

The effectiveness of this Regulation shall automatically expire on June 30, 2014, unless such term is extended, modified or amended prior its expiration.

Approved in San Juan, Puerto Rico on _____

Alberto R. Escudero Morales

Executive Director

Exhibit A

The Enhanced Security Fee will be the lesser or of the short tons of cargo moving in containers multiplied by \$4 or the total containers with cargo multiplied by \$69.

Example 1:

Containers with cargo	236
multiplied by \$69 cap per container	\$ 69
Total maximum Enhanced Security Fee charged for containers with cargo	\$16,284
Short tons of cargo moving in containers	4,450
multiplied by Enhanced Security Fee of \$4 per short ton	\$ 4
	\$17,800

In this example, the Enhanced Security Fee is **\$16,284** based on the maximum charge for containers with cargo.

Example 2:

Containers with cargo	236
multiplied by \$69 cap per container	\$ 69
Total maximum Enhanced Security Fee charged for containers with cargo	\$16,284
Short tons of cargo moving in containers	3,450
multiplied by Enhanced Security Fee of \$4 per short ton	\$ 4
	\$13,800

In this example, the Enhanced Security Fee is **\$13,800** based on the short tons for cargo moving in containers.

Esta base de datos está al día con la normativa vigente hasta el 31 de julio de 2019.

P.R. Regs. AP REG. 8067 (English), PRS ADC AP REG. 8067 (English)

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